

The HMA Group

To:

Prelios

and

Kerdos

Date: October 25, 2023

Dear Sirs,

Re: Offer to buy the financial debt of Alfatherm S.p.a.

We successfully negotiated the potential indirect acquisition of 100% of share capital of Alfatherm S.p.a. ("Alfatherm" or the "Company"). In connection with that transaction, one of the few condition precedents to closing is to be able to negotiate terms for the acquisition of the Company's outstanding debt, which is partially controlled by you. We have been negotiating in good faith and made important efforts to converge in this negotiation which started in our meeting in Milan last May. At this juncture, we have gone to our committees and were able to get approval to present to you our **Final Offer** (the "**Offer**") for the acquisition of the entire financial debt currently owned or managed by Kerdos. As discussed, the acquisition of the financial debt is a condition precedent to closing the transaction, that would result in a change of control of Alfatherm.

A. Profile and interest

The bidding entity is the HMA Group ("HMA"), a private partnership of French and Brazilian executives and investors specialized in turnaround of distressed businesses. HMA Group is investing in Latin America through FORS Capital, a Private Equity Firm registered under the Brazilian law, with over 20 acquisitions and divestments completed throughout the past 14 years. In Europe, HMA Group operates through a Luxembourg based special purpose vehicles.

The HMA Group was formed by a group of self-funded individuals with Executive and Investment Banking backgrounds that, having enjoyed success in previous transactions, actively seek business opportunities with a value-oriented approach and with a clear industrial strategy to support its value creation thesis devised for each transaction.

The HMA Group is structured similarly to a Private Equity fund, with a portfolio of businesses jointly owned and managed.

B. Basis for our Final Offer

Alfatherm is part of an important consolidation plan carefully designed by HMA that will potentially include other assets in Europe, South America and other regions of the world. This plan will require significant capital commitment from HMA in addition to an important turnaround exercise to get the company back on track in preparation for its future growth. This exercise will include:

- Efficiency gains
- Cost cutting
- Global raw material sourcing
- Streamlining working capital
- Market repositioning and new pricing strategy

In order to achieve our goal, the use of our capital must be materially directed towards the company, otherwise we will significantly change the risk profile of the transaction, which could impact, among other aspects, the credit risk of the transaction.

We would like to highlight that, despite management's efforts to improve performance, as a result of the current competitive environment, the company's capital structure vulnerability and the macroeconomic backdrop, in the first seven months of 2023, the company sold 35% less product volume and had 30% lower Gross Sales than the same period 2022. At the current pace, HMA's contribution will be essential for the survival of the company.

C. Transaction structure

Alfatherm's parent company, an investment vehicle fully controlled by HMA, will assume a portion of Alfatherm's outstanding debt held or controlled by Kerdos directly or indirectly with the meaning of article 1273 of the Italian Civil Code. The terms under which this transaction shall occur will be documented accordingly once this proposal is duly accepted. Such terms should include the following:

- (i) Upfront payment of EUR 300,000 paid EUR 100,000 up to 30 days from the closing date and EUR 200,000 paid up to 90 days from the closing date
- (ii) Amortization: *i)* EUR 200,000 paid up to 8 months from the closing date; *ii)* EUR 100,000 paid up to 12 months from the closing date; *iii)* EUR 250,000 paid up to 18 months from the closing date
- (iii) Remaining outstanding debt should total EUR 1,810,000
- (iv) Payment term of the remaining outstanding debt: 24 22 months after the closing date
- (v) Term extension option: In case HMA requests, an extension of the payment term by an additional 12 months period, Kerdos shall receive an extension payment of EUR 228,500 due on the 24th month after the closing date
- (vi) Interest rate: 8%, simple interest rate in case of exercise during the year, with annual accrual. No payment of interest if the payment occurs during the first 12 months. The interest will be calculated on an overall capital amount of € 2,660,000, which includes €300,000 of upfront payment, €550,000 of amortization, €1,810,000 of remaining outstanding debt and €228,500 of term extension option payment. The capital amount will be deducted accordingly to the payments made during the period
- (vii) Security package: Existing security package will remain unchanged, provided that Kerdos gives HMA a waiver to issue new shares of Alfatherm in connection with any capital raising transactions, limited to 49%. Such newly issued shares will remain unencumbered. Any transaction which triggers a change of control would require a waiver from the creditors.

After the signing of the new agreement and during the lifetime of the debt, Kerdos maintains the standstill on interest's payments of *composizione negoziata* and waives any interest payment owed by the company thereafter.

The final acceptance of this proposal is subject to a successful negotiation with Gardant. With the acceptance of this letter, Kerdos agrees to give HMA a waiver for the change of control.

We emphasize that HMA intends to liquidate the outstanding debt as soon as possible and will exercise its best efforts to do so, assuming that the market conditions will make it feasible.

The proposal is based on the assumption that the closing will take place by December 31, 2023.

E. Timetable

We each agree to proceed with the preparation and negotiation of formal documentation with a view to the proposed transaction contemplated by this offer being completed with reasonable speed.

HMA expects to close the transaction by September 30th, and to sign an agreement to buy the debt prior to signing.

F. Costs

We shall each be responsible for our own legal, financial advisory and other professional costs in connection with the preparation and negotiation of the definitive transaction agreement to effect the proposed transaction.

G. Nature and validity of the offer

This Binding Offer is subject to the conclusion of the negotiation of the definitive transaction agreements and the satisfactory resolutions to the conditions precedent described in the binding offer.

The following provisions are of legally binding effect:

(a) Confidentiality

HMA and Kerdos agree to keep the contents of this letter and the fact of our negotiations strictly confidential and not to discuss the detail or subject matter of this letter (including the terms of this offer) with any third party (other than the respective employees or advisors that reasonably need to be informed in order to assist them in assessing the contents of this BO, their shareholders and bankers, if necessary, it being understood that each party (a) shall procure that also said employees, advisors, shareholders and bankers be subject to these confidentiality obligations and (b) will be liable towards the other party in case of breach by their employees, advisors, shareholders or bankers) without the prior written consent of the other party. Notwithstanding the above, either party shall be entitled to make such disclosures and/or announcements as is mandatorily required by law or by any regulatory or judicial authority and to the extent strictly necessary, it being understood that the other party shall be previously informed in order to be able to provide any comments to the content of such disclosures and/or announcements.

(b) Proper law and jurisdiction

This letter shall be governed by the law of the Republic of Italy and the parties hereto submit to the exclusive jurisdiction of the Court of Milan, Italy. The above paragraph (a) of this clause is of binding legal effect. Please note that any correspondence pre-dating this letter is superseded by this letter and is therefore of no force or effect.

(c) Non-Reliance

The parties agree that if the transaction contemplated herein fails to be completed and the closing conditions are not satisfied, regardless of the reasons for such failure, none of the parties, in reliance on this offer and/or the negotiations, shall be entitled to any claims for damages or other compensation from the other.

HMA looks forward to being able to conclude a satisfactory transaction as soon as possible and we look forward to hearing from you. We would be grateful if you would acknowledge and agree to the terms set out in this letter by signing and returning to us the enclosed duplicate by no later than 7 days from the delivery date of this offer. If not received until this date, the offer will cease to be valid.

Yours sincerely

For HMA Latam Investments LLC

A handwritten signature in blue ink, appearing to read 'Stéphane David OLIVO', with a long horizontal stroke extending to the right.

Stéphane David OLIVO

Managing Director

Approved , date:

For Kerdos

Name:

Title: